

Amendment No. 1 to HB1827

Crawford
Signature of Sponsor

AMEND Senate Bill No. 2053

House Bill No. 1827*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 7, Chapter 51, is amended by adding the following as a new part:

7-51-2801. Purpose and intent.

(a) The general assembly finds that certain proposed quarries and digital asset mining facilities can create substantial impacts on surrounding communities when they are developed without sufficient planning, engineering, or operational safeguards. The purpose of this act is not to prohibit quarrying or digital asset mining, nor to hinder responsible commercial operators, but to ensure that these facilities are sited and developed only when the applicant provides clear, credible, and professionally prepared proof that the operation can be conducted safely and responsibly.

(b) With respect to nuisance quarries, the general assembly recognizes that small quarry sites located in close proximity to existing residential dwellings present heightened risks relating to noise, dust, vibration, truck traffic, groundwater disturbance, and overall community compatibility. This part is intended to ensure that only quarry operators capable of demonstrating modern standards of safety, environmental compliance, and financial responsibility may develop close-proximity, small-footprint quarry sites.

(c) With respect to digital asset mining facilities, the general assembly recognizes that large-scale, high-density data mining and blockchain operations can impose material impacts on local communities, including very high electrical demand,

harmonic distortion on utility systems, heat and exhaust discharge, vibration, and a level of continuous noise that may exceed legally permitted residential levels. This part is intended to ensure that communities receive meaningful protections without imposing an outright ban on digital asset mining activities, and that operators willing to meet modern professional standards retain a clear, objective pathway to approval.

7-51-2802. Part definitions.

As used in this part:

(1) "Digital asset mining facility" means a group of computers working at a single site that consume more than one megawatt (1 MW) of energy on an average annual basis for the purpose of securing a blockchain protocol and generating controllable electronic records;

(2) "Nuisance quarry" means a proposed quarry that meets all of the following conditions:

(A) The real property on which the proposed quarry is to be established consists of less than two hundred (200) contiguous acres; and

(B) The proposed quarry has setbacks of less than five hundred feet (500') between the boundary of active mining or extraction activity and any existing residential dwelling; and

(3) "Quarry":

(A) Means a site that hosts the extraction, removal, and mechanized processing of stone, gravel, phosphate rock, metallic ore, limestone, marble, chert, sand, dimension stone, or any other solid mineral or substance of commercial value, except coal mining, underground stone mining, and deep metal mining, including, but not limited to, zinc, found in natural deposits in the earth, for barter or sale; and

(B) Does not include the excavation or removal of material that is incidental to the construction of a subterranean tunnel or system of subterranean tunnels designed primarily for the transportation of passengers and goods using electric, autonomous, or low-emission vehicles, or other emerging technology for vehicles and transportation systems, where the tunnels are constructed at depths sufficient to avoid interference with surface uses.

7-51-2803. Local approval of quarry or digital asset mining facilities.

(a) Prior to a nuisance quarry or digital asset mining facility being established in a county, municipality, or metropolitan government, the local legislative body for the jurisdiction must approve the location for such facility by resolution in a public meeting.

(b) A local legislative body shall provide at least twenty-one (21) calendar days' notice of the time and place of any meeting called pursuant to subsection (a) by:

(1) Publishing the notice in a newspaper of general circulation in the county;

(2) Posting the notice on the local legislative body's official website;

(3) Posting the notice in at least three (3) places at the location where the proposed nuisance quarry or digital asset mining facility will be established; and

(4) Sending the notice by first-class mail to each resident whose property is within one thousand five hundred feet (1,500') of the property line of the proposed location.

7-51-2804. Objective proof requirements.

(a) A local legislative body shall base its decision to approve or disapprove the siting of a nuisance quarry or digital asset mining facility in a county, municipality, or metropolitan government solely upon compliance with the requirements of this part and the material evidence submitted pursuant to this section.

(b) An applicant seeking to establish a nuisance quarry or a digital asset mining facility shall submit to the local legislative body:

(1) Proof of adequate power, water, and sewer capacity, supported by written confirmations from the applicable utilities. Any supporting engineering analysis must be prepared and stamped by a professional engineer licensed in this state;

(2) A traffic impact study, prepared and certified by a qualified transportation engineer, demonstrating that projected vehicle movements can be accommodated without materially degrading roadway safety or performance;

(3) An environmental study, prepared by a qualified environmental professional, addressing noise, dust, vibration, and other material impacts on surrounding property and natural resources;

(4) A baseline noise survey and an operational noise-management plan, including reasonable monitoring mechanisms demonstrating that noise levels will not exceed eighty A-weighted decibels (80 dBA), when measured at the property boundary of the nuisance quarry or digital asset mining facility. Compliance with this standard is determined using a twenty-four-hour equivalent continuous sound level measurement, conducted in accordance with generally accepted sound level measurement practices and using a properly calibrated sound level meter;

(5) A stormwater and erosion-control plan meeting all applicable state and local requirements that is prepared by a civil engineer licensed in this state;

(6) A reclamation or decommissioning plan appropriate to the proposed operation, along with a cost estimate prepared by a licensed engineer. The applicant shall secure financial assurance in a form acceptable to the local legislative body to ensure completion of the plan upon closure; and

(7) Sufficient financial and insurance documentation to demonstrate operational capability and long-term stability, including ensuring that an insurance policy meets reasonable minimum standards set by the local legislative body, if such applicant is not a publicly traded company or has an annual revenue of less than twenty-five million dollars (\$25,000,000).

(c) In addition to the requirements of subsection (b):

(1) An applicant seeking to establish a digital asset mining facility shall provide a study describing the facility's heat output, exhaust characteristics, and any potential electrical interference. The study must demonstrate that the facility will not adversely affect neighboring operations or utility systems; and

(2) An applicant seeking to establish a nuisance quarry shall post a bond sufficient to cover projected roadway wear caused by truck traffic during operations, in an amount determined by the local legislative body, if the applicant is not a publicly traded company or has an annual revenue of less than twenty-five million dollars (\$25,000,000).

7-51-2805. Exemption.

This part does not apply to:

(1) Borrow material or borrow excavations, including rock borrow, dirt borrow, solid rock borrow, graded solid rock borrow, or any similar material meeting the department of transportation standard specifications for road and bridge construction, whether temporary or project specific, and whether located on or off the project site, when such material is used solely for a construction project located within this state;

(2) An active or inactive quarry for which a mine identification number was applied for or obtained from the mine safety and health administration of the United States department of labor at any time prior to July 1, 2026;

(3) An application or other request for approval submitted to the appropriate local legislative body, or local building or codes enforcement department, zoning authority, health department, or similar local department or agency, related to the commencement, expansion, or resumption of mining activity with respect to a quarry or mining operation that was active or that filed an application for such a permit or approval from such a local legislative body or department or agency at any time prior to July 1, 2026; or

(4) A proposed quarry or mining operation if an application has been submitted to the department of environment and conservation for a stormwater discharge permit, wastewater discharge permit, or air pollution control permit related to the commencement, expansion, or resumption of activity at a quarry or mining operation; provided, that the quarry or mining operation was active or had submitted an application for such permit or approval to the department prior to July 1, 2026.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and, except as expressly stated in this act, applies to any proposed nuisance quarry or digital asset mining facility that will be established on or after that date.